

Corradine Foods

Corradine Foods ran 62 grocery stores across the Carolinas and Georgia, most of them built between 1988 and 2004 and most of them showing it. In November 2025 the board approved a five-year remodel program and gave the capital committee \$12 million a year to spend on it.

For each store, the committee had two mutually exclusive options.

A refresh cost \$3.2 million: new refrigeration, new lighting, a rebuilt front end, and a repositioned perimeter with an expanded prepared-foods department. Store-level testing on four pilot sites suggested incremental after-tax cash flow of \$950,000 a year for eight years.

A rebuild cost \$11.5 million: the store came down and a larger-format store went up on the same parcel, adding pharmacy, an in-store bakery, and 40 percent more selling area. Two rebuilds completed in 2023 were generating incremental after-tax cash flow of \$2.6 million a year, and the committee was willing to treat that as the eight-year forecast.

Corradine's cost of capital was 9 percent.

Dale Ferriman, the CFO, had a rule he had carried from his previous company and had never been persuaded to give up: no store project with a payback longer than four years. He had watched a predecessor commit a grocery chain to twelve-year rebuilds eighteen months before a hard discounter entered its markets, and he had watched what happened next.

Anneke Vorster, who had joined as VP of strategy in the spring, thought the payback rule was throwing away the best projects in the portfolio. She had run the numbers three ways and each one told her something different about which option was better, which was itself the thing she wanted the committee to look at.

The refresh had an IRR of 24.6 percent. The rebuild had an IRR of 15.4 percent. The refresh paid back in 3.4 years and passed Ferriman's rule; the rebuild paid back in 4.4 years and did not. And the rebuild had the higher NPV.

"So which is it," Ferriman said.

"That depends on a question we have not answered," Vorster said, "which is whether the twelve million is a real constraint or a budget we set ourselves."

EXHIBIT 1 — THE TWO OPTIONS, PER STORE

	REFRESH	REBUILD
Initial investment	\$3.2m	\$11.5m
After-tax cash flow, years 1–8	\$0.95m	\$2.60m
Life	8 years	8 years

Cost of capital: 9 percent. Annual capital budget for the program: \$12 million. Both options are available at each of the 62 stores; a store receives one or neither.

ASSIGNMENT

- 1 Compute NPV, IRR, payback, and profitability index for each option.
- 2 IRR prefers the refresh and NPV prefers the rebuild. Resolve the conflict. Compute the crossover rate and say what it means in a sentence a board member would understand.
- 3 Ferriman's four-year payback rule rejects the rebuild. Under what belief about the world is that rule doing something useful rather than something arbitrary?
- 4 With \$12 million a year, what does Corradine do? Now answer the same question assuming the \$12 million is a budget the board would raise if shown a good enough project.
- 5 The rebuild forecast comes from two completed stores; the refresh forecast comes from four pilots. Does that change your recommendation, and if so, does it change the number or only your confidence in it?